

Fair valuation of Optionally Convertible Debentures issued by Embassy Industrial Park Hosur Private Limited

For BREP Asia II EIP Holding (NQ) Pte Ltd.

Reliance Restricted

15 October 2025



**Ernst & Young Merchant Banking
Services LLP**

3rd & 6th Floor, World Mark-1
IGI Airport Hospitality District
Aerocity, New Delhi-110 037
India

Reliance Restricted

BREP Asia II EIP Holding (NQ) Pte Ltd.

Attention: Directors of BREP Asia II EIP Holding (NQ) Pte Ltd.

3 Church Street, #30-01 Samsung Hub,
049483 - Singapore

15 October 2025

Report on fair valuation of Optionally Convertible Debentures issued by Embassy Industrial Park Hosur Private Limited

Dear Sir/Madam ,

In accordance with instructions of BREP Asia II EIP Holding (NQ) Pte Ltd. ("Client" or "You" or "BREP" or the "Seller"), Ernst & Young Merchant Banking Services LLP ("EY") have performed the work as settled in Engagement Agreement dated 03 July 2025 ("Engagement Agreement"). We are pleased to present the following report ("Report") in connection with the fair valuation of Optionally Convertible Debentures ("OCDs") issued by Embassy Industrial Park Hosur Private Limited ("EIPHPL") (hereinafter referred to as "Valuation Subject" or "Target") as at 31 July 2025 ("Valuation Date").

It may be noted that for carrying out the valuation, we have relied upon information provided by the management of Horizon Industrial Parks Limited (the "Management"). We have been given to understand that the information provided is correct and accurate and that the Management was duly authorized to provide us the same.

Purpose of our Report and restrictions on its use

We understand that Horizon Industrial Parks Limited ("HIPL" or the "Buyer") is envisaging to acquire OCDs issued by EIPHPL from BREP ("Proposed Transaction"). In connection with the Proposed Transaction, Client requires fair valuation of OCDs issued by the Valuation Subject to ensure compliance with the following:

- Transfer Pricing provisions of the Indian Income Tax Act, 1961, and
- Provisions of Foreign Exchange Management Act ("FEMA") Rules 2019 issued by Reserve Bank of India ("RBI") dated 17 October 2019 amended from time to time, under the foreign exchange regulations in India

The above hereinafter has been collectively referred to as "Purpose".

The Report was prepared solely for the above Purpose and should not be used or relied upon for any other purpose including for filing with any statutory/regulatory authority. The Report and its contents may not be quoted, referred to or shown to any other parties except as provided in the Engagement Agreement.



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We accept no responsibility or liability to any person other than to the Client, or to such party to whom we have agreed in writing to accept a duty of care in respect of the Report, and accordingly if such other persons choose to rely upon any of the contents of the Report, they do so at their own risk.

Nature and scope of the services

The nature and scope of the services, including the basis and limitations, are detailed in the Engagement Agreement. The contents of our Report have been reviewed by the Client, who have confirmed to us the factual accuracy of the Report.

Whilst each part of our Report may address different aspects of the work we have agreed to perform, the entire Report should be read for a full understanding of our findings and advice.

Our work was completed on 15 October 2025. Our Report does not take account of events or circumstances arising after Valuation Date and we have no responsibility to update the Report for such events or circumstances. If you have any questions or require additional information, please do feel free to contact us.

Yours faithfully

Navin Vohra

Partner

Ernst & Young Merchant Banking Services LLP

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Valuation summary

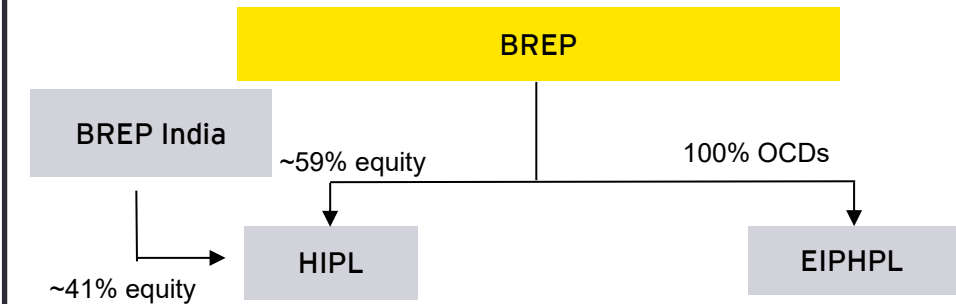
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Background and scope of work

Company Background

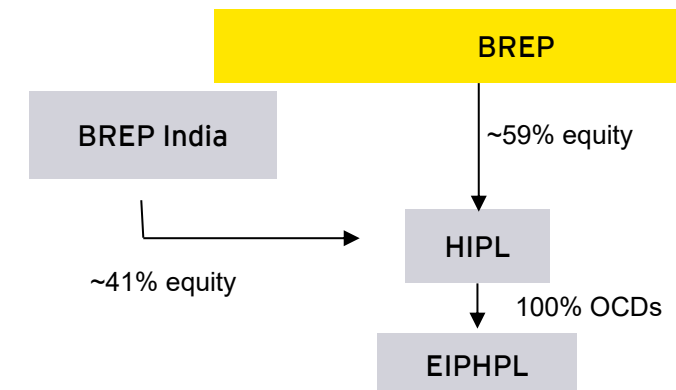
- ▶ BREP Asia II EIP Holding (NQ) Pte Ltd. ("BREP" or "Client" or the "Seller") was established in February 2021 and is based in Singapore. BREP is an investment holding entity and holds investments in Indian companies which are engaged in the business of developing, constructing and operating warehousing assets in India.
- ▶ Horizon Industrial Parks Limited ("HIPL" or the "Buyer") an Indian company, is engaged in developing and managing industrial and warehousing assets. HIPL manages more than 40 industrial and logistics parks located in 10 key markets, spread across more than 2,000 acres. As at the Valuation Date, BREP holds ~59% equity stake in HIPL while the remaining ~41% equity stake is held by BREP Asia II Indian Holding Co VI (NQ) Pte. Ltd ("BREP India"), another group entity of Blackstone.
- ▶ Embassy Industrial Park Hosur Private Limited ("EIPHPL") was incorporated in October 2018. EIPHPL has signed a lease-cum-sale deed with Karnataka Industrial Areas Development Board ("KIADB") for lease of land in Bengaluru, for construction of industrial and logistics park.
- ▶ As at the Valuation Date, EIPHPL has issued 235 mn Optionally Convertible Debentures ("OCDs") (face value ₹10 each) to BREP.
- ▶ EIPHPL have been hereinafter referred to as "Valuation Subject" or "Target".

Pre-Transaction Structure



Source: Management

Post-Transaction Structure



Source: Management

Background and scope of work

Purpose and Scope of Valuation

- ▶ We understand that HIPL is envisaging to acquire OCDs issued by EIPHPL from BREP ("Proposed Transaction"). In connection with the Proposed Transaction, Client requires fair valuation of OCDs issued by the Valuation Subject to ensure compliance with the following:
 - Transfer Pricing provisions of the Indian Income Tax Act, 1961, and
 - Provisions of Foreign Exchange Management Act ("FEMA") Rules 2019 issued by Reserve Bank of India ("RBI") dated 17 October 2019 amended from time to time, under the foreign exchange regulations in India
- ▶ The scope of Valuation is to perform fair valuation of OCDs issued by the Valuation Subject for the above-mentioned Purpose as at 31 July 2025 ("Valuation Date").
- ▶ EY is a Category 1 Merchant banker, with registration code number INM000010700 dated 20 June 2019.
- ▶ Valuation Date : 31 July 2025
- ▶ Premise of value: Fair Value as per internationally accepted valuation methodology.

Sources of information

- ▶ The following sources of information have been utilized in conducting the valuation exercise:
- ▶ **Valuation Subject specific information** - The following information, as provided by the Management have inter-alia been used in the valuation:
 - ▶ Terms and conditions of OCDs issued by EIPHPL
 - ▶ Background information regarding the Valuation Subject provided through emails or during discussions
- ▶ Besides the above listing, there may be other information provided by the Management which may not have been perused by EY in any detail, if not considered relevant for the defined scope.
- ▶ **Industry and economy information:** EY has relied on publicly available information, proprietary databases subscribed to by EY or its member firms, and discussions with the Management for analysing the industry and the competitors:
- ▶ In addition to the above, EY has also obtained such other information and explanations from the Management as were considered relevant for the purpose of the valuation.
- ▶ It may be mentioned that the Client has been provided an opportunity to review factual information in the draft Report as part of EY's standard practice to make sure that factual inaccuracies/omissions/etc. are avoided in the final Report.

Embassy Industrial Park Hosur Private Limited

Key terms of OCDs

- ▶ As at the Valuation Date, EIPHPL has issued 235 mn OCDs (face value ₹10 each) to BREP. Key terms of OCDs are as follows:
 - ▶ **Issue date:** The OCDs were issued in two tranches i.e. 115 mn on 01 June 2021 and 120 mn on 15 November 2021.
 - ▶ **Debenture Coupon:** The OCDs shall not carry any interest until 31st March 2026 (the “Moratorium Period”), post which EIPHPL and the OCD holder shall mutually agree on the interest payable on the OCDs, based on a benchmarking exercise undertaken by EIPHPL. It has also been clarified that no interest shall be due and payable if the OCDs are converted at any time prior to 31st March 2026.
 - ▶ **Tenure:** The term of the OCDs shall be 19 years from the Closing date.
 - ▶ **Conversion:** The OCDs are convertible into equity shares at any time, at the fair value of equity shares of EIPHPL (as on the date of conversion), subject to: (a) prior written approval of the OCD holder and EIPHPL; and (b) procurement of KIADB’s approval (if required).
 - ▶ **Redemption:** The OCDs are redeemable at any time, at the sole discretion of the OCD holder, at par. If the OCDs are not converted into equity shares on or before the expiry of the term, then immediately upon the expiry of the term, EIPHPL shall redeem the OCDs at par.
 - ▶ **Non-marketable:** The OCDs are not capable of being sold on a recognised stock exchange in or outside India. OCDs can not be listed on any recognised stock exchange in or outside India.
 - ▶ **Voting Rights:** The OCDs shall not carry any voting rights.

Valuation results / conclusion

Valuation summary

- ▶ For the valuation of OCDs, we have considered Fair Market Value, which is defined as “the estimated amount for which an asset or liability should exchange on the Valuation Date between a willing buyer and a willing seller in an arm’s length transaction, after proper marketing and where the parties had each acted knowledgeably, prudently and without compulsion”
- ▶ Fair Value of OCDs has been estimated based on the key terms of OCDs given on page no. 9.
- ▶ It is to be noted that:-
 - OCDs issued by the EIPHPL do not carry any interest till the Moratorium period i.e., 31st March 2026;
 - Even after the Moratorium Period, there is no clarity in the agreement regarding the interest rate payable by the Target to the OCD Holders. The terms of OCDs merely state that the Parties would, in the future, mutually agree on the interest rate payable on OCDs;
 - While the OCDs are convertible, the conversion price will be based on fair value of equity at the time of conversion. This implies that the OCDs will not enjoy any upside due to appreciation in value of equity, that they would have got if the conversion ratio was fixed upfront;
 - OCDs are redeemable at any time, at the sole discretion of the OCD holder, at par;
 - Further, as at the Valuation Date, EIPHPL is not generating any revenue and has accumulated losses.
- ▶ Given the above uncertainties and risk factors, any independent and willing buyer will not pay any premium over and above the Principal outstanding, for these OCDs. Hence, the fair value of OCDs have been considered at par as shown in the table given below :-

Currency: ₹ mn	EIPHPL
Principal amount of OCDs	2,350.0
Fair value of OCDs	2,350.0
Number of OCDs (in million)	235.0
Value per unit (₹ / OCD)	10.0

Source: Calculation

- ▶ This Report should be read in its entirety but especially in conjunction with the ‘Statement of limiting conditions’.

The fair value of OCDs of EIPHPL as at the Valuation Date is estimated to be ₹2,350.0 mn (₹10.0 per OCD of face value of ₹10.0 each)

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Statement of limiting condition

Statement of limiting conditions

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Statement of limiting conditions

- ▶ Provision of valuation opinions and consideration of the issues described herein are areas of our regular valuation practice. The Services do not represent accounting, assurance, accounting / tax due diligence, consulting or tax related services that may otherwise be provided by us or our affiliates.
- ▶ The user to which this valuation is addressed should read the basis upon which the valuation has been done and be aware of the potential for later variations in value due to factors that are unforeseen at the Valuation Date. Due to possible changes in market forces and circumstances, this Report can only be regarded as relevant as at the Valuation Date.
- ▶ This Report has been prepared for the purposes stated herein and should not be relied upon for any other purpose. Our Client is the only authorized user of this Report and is restricted for the purpose indicated in the Engagement Agreement. This restriction does not preclude the Client from providing a copy of the Report to third-party advisors whose review would be consistent with the intended use. We do not take any responsibility for the unauthorized use of this Report.
- ▶ While our work has involved an analysis of financial information, our engagement does not include an audit in accordance with generally accepted auditing standards of the Client existing business records. Accordingly, we express no audit opinion or any other form of assurance on this information.
- ▶ The valuation has been performed on the unaudited balance sheet provided by Management for the period ended 31 May 2025. The Management has also confirmed that there has not been any material change in the operations of the Company since the last available financial statements.
- ▶ In no event shall we be liable for any loss, damages, cost or expenses arising in any way from fraudulent acts, misrepresentations or wilful default on part of the Client or companies, their directors, employees or agents.
- ▶ The Client and its Management/representatives warranted to us that the information they supplied was complete, accurate and true and correct to the best of their knowledge. We have relied upon the representations of the clients, their Management and other third parties, if any, concerning the financial data, operational data and other information, except as specifically stated to the contrary in the Report. We shall not be liable for any loss, damages, cost or expenses arising from fraudulent acts, misrepresentations, or wilful default on part of the companies, their directors, employee or agents.
- ▶ EY is not aware of any contingency, commitment or material issue which could materially affect the Company's economic environment and future performance and therefore, the fair value of the Company.
- ▶ We do not provide assurance on the achievability of the results forecast by the Management as events and circumstances do not occur as expected; differences between actual and expected results may be material. We express no opinion as to how closely the actual results will correspond to those projected/forecast as the achievement of the forecast results is dependent on actions, plans and assumptions of Management.
- ▶ The Report assumes that the Company/business/asset complies fully with relevant laws and regulations applicable in its area of operations and usage unless otherwise stated, and that the companies/business/assets will be managed in a competent and responsible manner. Further, as specifically stated to the contrary, this report has given no consideration to matters of a legal nature, including issues of legal title and compliance with local laws, and litigations and other contingent liabilities that are not recorded/reflected in the balance sheet/fixed assets register provided to us.

Statement of limiting conditions

- ▶ The valuation analysis and result are governed by concept of materiality.
- ▶ We owe responsibility only to the client that has appointed us under the terms of the engagement agreement. We will not be liable for any losses, claims, damages or liabilities arising out of the actions taken, omissions or advice given by any other person.
- ▶ The actual transacted value achieved may be higher or lower than our estimate of value (or value range of value) depending upon the circumstances of the transaction (for example the competitive bidding environment), the nature of the business (for example the purchaser's perception of potential synergies). The knowledge, negotiating ability and motivation of the buyers and sellers will also affect the transaction value achieved. Accordingly, our valuation conclusion will not necessarily be the value at which actual transaction will take place.
- ▶ We have also relied on data from external sources to conclude the valuation. These sources are believed to be reliable and therefore, we assume no liability for the truth or accuracy of any data, opinions or estimates furnished by others that have been used in this analysis. Where we have relied on data, opinions or estimates from external sources, reasonable care has been taken to ensure that such data has been correctly extracted from those sources and /or reproduced in its proper form and context.
- ▶ The figures in the tables in the Report may not sum or cross cast, due to rounding differences.